

China's growing confidence will raise Taiwan risk

送信者: EG Daily Brief 受信日時: 2026-09-16 21:15

【メール原文】

Growing Chinese capabilities and renewed military confidence will raise the risk of invasion or quarantine of Taiwan after 2028. A disastrous state el|||||||||||||

Daily Brief

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16 Sep 2026 08:08 EDT Discover more on the Portal

summary

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Growing Chinese capabilities and renewed military confidence will raise the risk of invasion or quarantine of Taiwan after 2028.

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A disastrous state election result will intensify pressure on German Chancellor Friedrich Merz within the Christian Democratic Union (CDU), putting him at risk of replacement next year.

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Counter-accusations between Ukraine's disgraced former prosecutor general and anti-corruption chief will deepen skepticism of the country's institutions at home and abroad.

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America's \$40 trillion national debt is the most overlooked long-term security threat, with major defense programs facing likely cuts within years.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Germany, Taiwan, Ukraine, defense, energy, and geoeconomics.

the top line

China—Beijing's growing confidence will heighten Taiwan risks after 2028

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The risk of an invasion of Taiwan will rise over the next five years as increasing Chinese capabilities and renewed military confidence shift Beijing's assessment of the costs.

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An invasion remains a remote but serious risk (10% starting in 2029), since Beijing believes it can achieve unification through methods short of military action—a mix of intense coercion and persuasion.

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The risk of a non-invasion crisis, such as a quarantine, will rise to 30% starting in 2029, with the US and Taiwanese governments elected in 2028 likely to adopt more confrontational policies toward China even

as Beijing's expectations of acquiescence rise.

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Read more here . Reach out to discuss: taiwan@eurasiagroup.net .

Germany—Upcoming state elections will threaten Merz's leadership next year

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State elections in the north-eastern state of Mecklenburg-Western Pomerania on 20 September will hand Merz's CDU a disastrous result and will lead to a further increase in internal anti-Merz sentiment.

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Merz will likely stay in office until at least the spring of 2027, but is at risk of being replaced by an internal CDU challenger over the course of next year.

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Although Merz is at risk over the medium term, his government is not—the SPD is more likely to vote in a Merz alternative than walk out of the coalition.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Ukraine—New scandal deepens distrust in Ukraine's institutions domestically and abroad

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Ukraine's former prosecutor general, Ruslan Kravchenko, who resigned amid a corruption probe into his office, has accused Semen Kryvonos, head of the National Anti-Corruption Bureau of Ukraine (NABU), of illegal conduct. The allegations don't directly implicate President Volodymyr Zelensky's inner circle as earlier scandals did, and Zelensky moved quickly to distance himself—steps likely to shield him from the fallout.

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Kravchenko's counter-accusations represent one of the most prominent recent instances of a disgraced official hitting back at NABU. If he provides further evidence, he could damage the agency's credibility. Replacing Kryvonos with an untainted figure would limit the damage, as public support for the anti-corruption bodies remains strong.

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Zelensky's main risk is the perception that he is indirectly targeting the anti-corruption agencies. The affair will also harden EU skepticism about Ukraine's institutions.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

US, Aerospace & Defense—Mounting US debt is the most overlooked long-term security threat

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America's national debt, at \$40 trillion, is the most overlooked long-term security threat. Interest payments already exceed total US defense spending as a share of GDP, and within two to three years, a serious relook at the Pentagon budget is virtually certain, with long-lead, high-cost programs like the F-47 fighter and Columbia-class submarine likely to be scaled back or canceled.

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Budgetary pressure will likely redirect spending toward force multipliers—drones, cyber tools, and battlefield data systems—already reshaping modern warfare. The pace of change is measured in weeks, not months.

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Debt pressures will spark debate over America's overseas military footprint and drive the integration of the commercial sector, a shift that may herald the end of the pure-play defense model, leaving many start-ups struggling to survive.

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Read more here . Reach out to discuss: aerospacedefense@eurasiagroup.net .

Geeconomics, Energy—Chart of the Day

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A surge in energy prices has led markets to ratchet up their expectations for how many interest rate hikes the Federal Reserve, European Central Bank, Bank of England, and Bank of Japan will need to deliver through mid-2027—as sticky inflation is pushing central banks into a more aggressive tightening posture than investors had expected just six weeks ago.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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16 September 9:30 AM ET—Brazil update. Register here .

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17 September 11:00 AM ET—2026 Israel election update. Register here .

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18 September 8:00 AM ET—Brazil's VAT reform: what changes in 2027—A chat with Joao Nobre, Senior Advisor to the Minister of Finance. Register here .

eg in depth

US—The GOP's 2024 coalition is collapsing: A New York Times-Siena College poll, one of the marquee polls of the midterm cycle, shows a nine-point Democratic lead on the generic ballot, a ten-point shift from 2024, with President Donald Trump's approval at 38%. Even on immigration, his strongest issue in 2024, Democrats now lead by seven points. Under the hood, the picture is worse: Trump's coalition was predicated on Hispanic voters and voters aged 18 through 29 playing an increasingly large role, but both groups now lean Democratic by over 35 points, a major reversal from under two years ago. That collapse matters most in Texas, a disproportionately young and Hispanic state, but reverberates across the board, forcing Republicans to run up their margins among core base voters. With those voters squeezed on the cost of living, especially gas prices, it's key to our view that 2026 will be a strongly Democratic-leaning year. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Brazil—Supreme court impasse will give Lula little relief: Brazil's Federal Supreme Court session to open an inquiry into Justice Alexandre de Moraes—reportedly using his position to protect a banker—stalled over a procedural dispute and ended without a formal decision. Justice Flavio Dino requested up to 90 days to review the case, making a probe unlikely before the election. The crisis deepened when leaked phone messages implicated Justices Kassio Nunes Marques and Luiz Fux and their relatives in payments and favors tied to the same banker, a tactic that worked: Nunes Marques recused himself, bringing the total of allegedly compromised court members to four. For President Luiz Inacio Lula da Silva, the prolonged crisis keeps voter concerns of corruption dominating headlines, reinforcing voter pessimism and threatening his approval further. His best hope is landing a stronger blow against rival Flavio Bolsonaro, who also faces corruption allegations. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

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16 September: Central bank decisions: Brazil and US.

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17 September: Data: Eurozone CPI; Central bank decision: UK.

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18 September: Events: NATO Military Committee Conference begins in Copenhagen, through 19 September; Data: Japan CPI, and US IP; Central bank decision: Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“Our servicemembers are exhausted, our munitions are depleted, our diplomatic capabilities have been wrecked and 18 of our troops will never come home.”—US Senator Tammy Duckworth, (D-IL), said in response to a report from the Defense Department’s inspector general, who found the conflict with Iran has resulted in a shortfall of US munitions.

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